China Autonomous Driving & Intelligent Connected Vehicle Industry Quarterly Data Briefing — Q2 2026

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What's Inside

本期关键词

L2 penetration reaches 70% in H1 2026 — NOA exceeds 30%

First L3/L4 mandatory national standard enters public comment — effective July 1, 2027

XPeng launches China's first mass-produced Robotaxi

H1 financing exceeds RMB 35B across 24+ deals — 2026 dubbed "IPO year"

Smart driving market scale reaches RMB 450.2 billion in 2025

2026 Robotaxi market CAGR forecast at 74%

Three numbers that matter

L2 penetration reached 70% in H1 2026, with NOA-equipped models exceeding 30%. China has become the world's largest intelligent driving market. The "smart driving democratization" trend has accelerated dramatically — BYD now equips all models with advanced driver assistance, pushing L2+ features down to vehicles under RMB 100,000.

China's autonomous driving market reached RMB 450.2 billion in 2025, with smart driving solutions market growing from RMB 43.3 billion in 2021 to RMB 190.4 billion in 2025 — projected to reach RMB 267.1 billion in 2026. L2+ solutions CAGR stands at 33.7%, while Robotaxi market CAGR reaches 74.0%.

First L3/L4 mandatory national standard entered public comment June 17–24, 2026, scheduled for implementation on **July 1, 2027**. This marks China's first mandatory standard for conditional (L3) and high-level (L4) autonomous driving systems, transitioning from recommended to 强制性 status.

What changed this quarter

GB 47955—2026 mandatory L2 safety standard officially issued — effective January 1, 2027

L3/L4 autonomous driving system safety mandatory standard enters public comment — effective July 1, 2027

XPeng launches China's first factory-installed mass-produced Robotaxi — pilot operations begin H2 2026

State capital transitions from "follow-on" to "lead investor" in autonomous driving

Beijing E-Town expands to 225 km^2 future industry pilot zone

Part 1: Market Scale & Penetration

1.1 Overall Market Scale

China's autonomous driving market reached **RMB 450.2 billion in 2025**. The smart driving solutions market grew from RMB 43.3 billion in 2021 to RMB 190.4 billion in 2025, with analysts projecting **RMB 267.1 billion in 2026**.

2026 forecasts:

Autonomous driving market penetration expected to exceed **40%**

L2+ solutions market share projected at **67.5%**

L2+ solutions CAGR: **33.7%**

Robotaxi market CAGR: **74.0%**

1.2 L2 Penetration

According to MIIT and China Association of Automobile Manufacturers data, L2-level combined driving assistance penetration in new passenger vehicles reached **70% in H1 2026**.

Key details:

NEV production and sales in H1 2026 both exceeded **7 million units**

National NEV ownership surpassed **48.97 million vehicles**

NOA-equipped models exceeded **30%**

Q1 2026 L2 penetration in passenger vehicles reached approximately **69%**

1.3 Smart Vehicle Penetration

China's smart vehicle sales reached approximately **21.4 million units in 2025**, with smart vehicle penetration at **62.1%**. Global smart vehicle penetration is expected to reach 68.4% in 2026, while China's smart vehicle penetration is forecast at 57.5%.

1.4 The "Smart Driving Democratization" Trend

BYD has fully equipped all models with high-level smart driving systems, pushing L2+ functionality down to the **sub-RMB 100,000 market**. LiDAR localization and cost reduction have accelerated the 普及 of advanced sensors.

1.5 Global Outlook

The 2026 China International Auto Show (Auto China 2026) has become a focal point for the global automotive industry. Chinese manufacturers are leading the global transition from L2 to L3+ autonomous driving levels.

Part 2: Policy & Regulatory Developments (Q2 2026)

2.1 L2 Mandatory National Standard — GB 47955—2026

On July 2, 2026, MIIT officially released the **mandatory national standard Intelligent Connected Vehicles — Safety Requirements for Combined Driving Assistance Systems** (GB 47955—2026). The standard is expected to take effect on **January 1, 2027**.

Key impact: This is China's first mandatory standard for L2 driving assistance systems, establishing legally binding safety requirements for combined driving assistance features.

2.2 L3/L4 Mandatory National Standard — Public Comment

On June 17, 2026, MIIT formally announced the completion of the **Intelligent Connected Vehicles — Autonomous Driving System Safety Requirements mandatory national standard (draft)** and opened it for public comment from June 17 to 24.

Key provisions:

Category	Requirements
Applicability	M-class (passenger) and N-class (cargo) vehicles equipped with L3 and/or L4 autonomous driving systems
Exclusions	Does not apply to autonomous parking systems
L3 Requirements	Must be equipped with a backup user; system can fully control vehicle but must request human takeover when encountering risks, failures, or exceeding operational design domain (ODD)
L4 Requirements	No standby driver required; must have independent 脱困 and pull-over capabilities; remote assistance is auxiliary only and cannot replace the system's autonomous execution of all dynamic driving tasks
Implementation Date	Proposed for **July 1, 2027**

Category	Requirements
Status Transition	Upgraded from recommended standard GB/T 44721—2024 to mandatory status

Industry significance: This marks the first mandatory national standard for L3 and L4 autonomous driving systems in China, establishing a"hard safety floor"for higher-level autonomous driving. The"hard safety constraint era"for L3/L4 autonomous driving has officially arrived.

2.3 2026 Automotive Standardization Work Priorities

On June 1, 2026, MIIT's Equipment Industry Department No. 1 released the **2026 Automotive Standardization Work Priorities**.

Key actions:

Promote issuance and implementation of mandatory national standards for combined driving assistance systems
Push for issuance and implementation of mandatory national standards for autonomous driving systems and simulation testing methods

2.4 Shenzhen Intelligent Connected Vehicle Registration Measures

The Shenzhen Public Security Bureau Traffic Management Bureau issued the Intelligent Connected Vehicle Registration Measures, clarifying:

Applicable subjects: motor vehicles equipped with autonomous driving functions

Autonomous driving functions must comply with national standard Automotive Driving Automation Classification for L3 and L4 requirements

2.5 15th Five-Year Plan — Strategic Direction

2026 is the first year of the 15th Five-Year Plan. Key priorities include:

Preparing the 15th Five-Year Intelligent Connected New Energy Vehicle Industry Development Plan

Coordinating with energy and infrastructure planning

Accelerating breakthroughs in high-level autonomous driving technologies

Enhancing independent control of the industrial supply chain

Part 3: Investment & Financing

3.1 H1 2026 Overview

H1 2026 autonomous driving financing saw **over 24 publicly disclosed deals** raising **over RMB 35 billion**. The sector has entered a“ice and fire”phase — booming IPOs alongside persistent losses.

Key financing events:

Company	Round	Amount

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Qingzhou Zhihang (QCraft)	Series D	$100M
Horizon Robotics	Post-IPO placements	HK$11B (two placements)
Didi Autonomous Driving	Series D	RMB 2B
Hesai Technology	HK IPO	HK$3.8B
Zeron	Series B2	$200M
SinoAuto	Series C	RMB 300M
SineDrive	Financing	RMB 300M

3.2 State Capital Transition

2026 marks a **significant shift** in autonomous driving financing: state-owned capital and industrial capital have transitioned from “follow-on investors” to “lead investors”. State capital is now more 理性, focusing on commercial vehicle and closed-scenario projects with clearer commercialization paths.

Key statistics:

Jan–Jun 2026: Heavy truck autonomous driving sector recorded **5 publicly disclosed financing deals** totaling nearly **RMB 7 billion**

State-owned banks are providing comprehensive financial services across equity, debt, trusts, and private banking for tech enterprises